

World Bank/IMF

The World Bank, as part of its development finance operations, often attaches policy conditionalities to its loans, especially in structural adjustment programs (SAPs). Conditions aim to ensure that the borrower implements economic reforms that the Bank believes will lead to long-term growth and financial stability.

Below is a discussion of the underlying motives and impacts of three commonly prescribed policies:

1. Fiscal Discipline.

The conditions are to increase revenue by increasing VAT, to reduce public spending, to reduce fiscal deficiencies, to increase export earnings.

Motive: The World Bank promotes fiscal discipline to ensure macroeconomic stability and debt sustainability. The goal is to reduce budget deficits and control inflation, which are seen as critical to maintaining investor confidence from abroad.

Fiscal discipline is also aimed at increasing the efficiency of public spending by reducing wasteful expenditures and ensuring that government resources are used effectively. The main incentive or agenda is to pay back the foreign loan.

Impact: While successful, fiscal discipline can lead to reduced inflation, lower interest rates, and restored confidence in government institutions, It can also be harmful.

When VAT increases, low income consumers suffer most. In many developing countries, fiscal tightening has led to cuts in essential public services, such as health, education, agricultural sectors and subsidies for the poor. This can increase inequality and social unrest.

An interesting phenomena is that, WB/IMF encourages spending in Military Equipments that are imported from the West And discourages the budget cut on infrastructure development. From our country, it can be seen that, infrastructural expenditure can be removed; in some cases, in order to develop in infrastructure, load is taken but cannot get enough revenue - like Karnaphuli Tunnel. So, it can be said that, WB protects US/EU business interest.

2. Removal of Trade Barriers/Promoting Free Trade.

The conditions are to reduce tariffs, reduce subsidies that deteriorate trade or pruce.

Motive: The World Bank advocates for trade liberalization to integrate developing countries into the global economy. It is believed that the removal of tariffs, quotas and other trade restrictions



will increase economic efficiency, consumer choice & benefits and competitiveness.

By exposing domestic industries to international competition, it aims to improve productivity and promote export-led growth.

Impact: In some countries, trade liberalization has led to economic growth, increased exports, and reduced consumer prices.

However, in many cases, local industries have been unable to compete with cheaper imports (low price/high value products), leading to factory closures, job losses, and de-industrialization.

Liberalization without strong institutions and safety nets has made some economies overly dependent on a narrow range of exports or vulnerable to global price shocks. It can also leave a country as import dependent.

3. Privatization of State-Owned Industries.

The conditions are to reduce the numbers of State Owned Enterprises (SOE) and privatize them.

Motive: The World Bank promotes privatization to improve efficiency, reduce fiscal burdens, and encourage private sector development. It assumes that state-owned enterprises (SOEs) are often inefficient due to political interference, corruption, and lack of competition. Privatization is seen as a way to attract foreign investment and foster a competitive market economy. Although the latent incentives work as that foreign loan should be paid and enhance the entry of foreign companies (MNC's)

Impact: In cases where privatization was transparent and competitive, it has led to improved services, increased investment, and more dynamic enterprise performance.

However, in many developing countries, privatization processes have been marred by corruption, lack of transparency, and politically motivated sales.

Often, privatized companies downsize their workforce to cut costs, leading to mass unemployment. Moreover, essential services (e.g., water, electricity) handed over to private monopolies can result in price hikes and reduced access for the poor.

Privatization has also led to the concentration of wealth and power in the hands of a few elites or foreign corporations.



In Bangladesh, the SOE like Jute mill and Sugar mill are considered as loss making sectors. Subsidies in the form of increasing government spending are discouraged by WB & IMF. As a result, they are no longer SOE and the sectors collapse which has long-lasting impact on economy.

- Massive Unemployment.
- Backward and forward linkage with jute and sugar mills are hampered.
- Local economy boosts around mills. With the shutdown of mills, the economy collapsed.
- This created demand for informal jobs.
- It also led to rural to urban migration.

